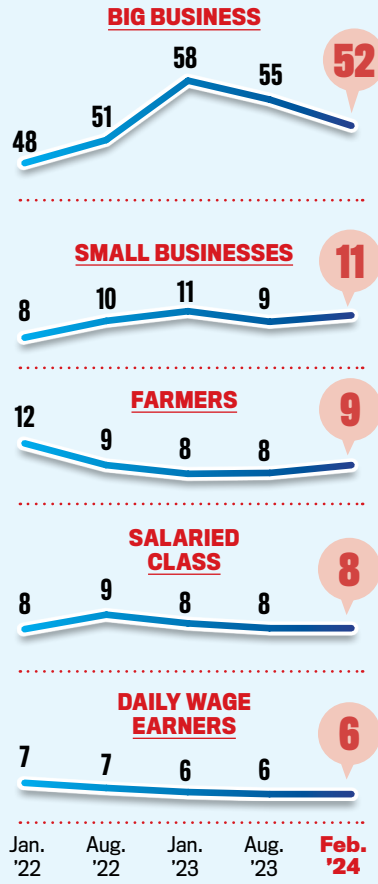
even degrowth. The Index of Industrial Production data reveals that, until the November of FY24, output for consumer durable industries grew by just 0.6 per cent, and non-durables (including food and apparel) by 5.6 per cent over the last year.

RED FLAGS ON JOBS

A significant 71.1 per cent of the respondents believe that the situation on the jobs front is either 'very serious' or 'somewhat serious'. This is marginally lower compared to the August 2023 MOTN, but 12 percentage points lower compared to 83 per cent in August 2021. Those who believe that the Modi government has been able to generate much employment increased to 32.2 per cent from 30.3 per cent in August 2023. However, this was lower compared to 34.4 per cent in January 2023. The percentage of respondents who feel that the government has "not at all" been able to generate employment has reduced to 31 per cent in the latest survey from 34.3 per cent in August 2023.

The government's Periodic Labour Force Survey data shows that unemployment reduced to a six-year low of 3.2 per cent in 2022-23 from 6 per cent in 2017-18. The problem lies in the quality of jobs, which experts say has deteriorated over time. There is an increase in the number of self-employed workers, who include unpaid family labour and unskilled business owners such as vegetable vendors or *paanwalas* in urban areas or weavers and tailors in rural areas. These self-employed workers increased from 55.6 per cent in 2020-21 to 57.3 per cent in 2022-23. Also, workers in salaried jobs—considered high-quality due to social security benefits—decreased from 21.1 per cent to 20.9 per cent in this period. Will the jobs situation improve, going forward? In the interim Union budget presented on February 1, Sitharaman increased capital expenditure by an additional 11 per cent, which should create more jobs in the infrastructure and construction segments. But that alone will not be enough, and private investments need to come in in a big way to create more job opportunities for the aspiring youth.

Q. Who has benefited the most from the NDA government's economic policies?



There is a perception that big businesses benefited the most from govt policies

(Rest, others & DK/CS)

Q. Have the Centre's economic policies ended up widening the divide between rich and poor?



All figures in % and rounded off

Another interesting highlight of the latest MOTN has been the public perception of big businesses and their ties with the government of the day. In January, the Adani Group got a respite from the Supreme Court, which turned down a request for a probe by a special investigation team or the Central Bureau of Investigation into allegations of stock price manipulation in the group's firms levelled by US-based short-seller Hindenburg. However, a Sebi probe on the matter is still underway. An overwhelming 52 per cent say that big businesses benefited the most from the NDA government's policies, with only 10.5 per cent saying small businesses benefited. Farmers, salaried class and daily wage earners benefited very little. A natural corollary to this is the allegation that the Centre's economic policies have ended up widening the rift between the rich and the poor. As many as 45 per cent feel that the gap between the two got wider, while 37.3 per cent believe the opposite to be true. An analysis by India Ratings and Research for FY22 and FY23 shows that wages for lower-income groups, comprising agricultural rural workers and unskilled workers, saw degrowth or negligible wage growth, if at all. In contrast, wages for corporates, representing the top 50 per cent of the income bracket, increased by over 10 per cent in the past two years.

Overall, the government seems to have done well in aiding the economy's recovery post the pandemic. However, sluggish growth in the developed world and the two wars constitute major external threats, even as jobs and incomes remain a blemish back home, and the government cannot relax its vigil on prices. ■

–*with* Sonal Khetarpal